

ACC 501 Solved MCQ'S For MID & Final Exam

1. Which of the following is an example of positive covenant?

Select correct option:

Maintaining firm's working capital at or above some specified minimum level

Furnishing audited financial statements periodically to the lender

Maintaining any collateral or security in good condition

Restricting selling or leasing assets wrong question option d is negative and all is positive example

Wrong, wrong, wrong question it is unfair discipline

2. AST Company's debt-to-total assets ratio is 0.45. What is its debt -to-equity ratio?

Select correct option:

0.101

0.220

0.667

0.818

Reference: $(1-0.45=0.55)$

$=0.45/0.55=0.818$

3. What amount a borrower would pay at the end of fourth year with a 4-year, 12%, interest-only loan of Rs. 8,000?

Select correct option:

Rs. 1,360

Rs. 2,000

Rs. 5,625

Rs. 8,960

Reference: $8000*12/100=8960$

4. What will be the price per share if there is a current dividend of Rs. 4.75, required rate of return of 12% and growth rate of 5%?

Select correct option:

Rs. 30.19

Rs. 43.52

Rs. 56.53

Rs. 71.25

Reference: $D*1+g/r-g$

$4.75*(1+0.05/4.75-0.05)=71.25$

5. A given rate is quoted as 9 percent APR, but the EAR is 9.38 percent. What is the compounding period?

Select correct option:

Semiannually

Quarterly

Monthly

Daily

Reference: $(1+APR/m)^m-1$

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PR=9

M=30

$(1+9/30)^{30}-1=9.38$

6. Mr. Aslam owns 100 shares of a company and there are four directors to be elected. How much votes Mr. Aslam would have as per cumulative voting

procedure?

Select correct option:

100 votes

200 votes

300 votes

400 votes

Reference: $100 \times 4 = 400$

7. SNT Corporation has policy of paying a Rs. 6 per share dividend every year. If this policy is to continue indefinitely, what will be the value of a share of stock at a 15% required rate of return?

Select correct option:

Rs. 30

Rs. 40

Rs. 50

Rs. 60

Reference: $6 / 0.15 = 40$

8. Which of the following process can be defined as the process of generating earnings from previous earnings?

Select correct option:

Discounting

Compounding

Factorization

None of the given options

9. Which of the following is the amount of cash we would get if we actually sell an asset?

Select correct option:

Market Value

Book Value

Intrinsic Value

None of the given options

10.

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11. Which of the following financial statement shows both dollars and percentages in the report?

Select correct option:

Balance Sheet

Common-Size Statement

Income Statement

Relative Statement of Equity

12. in which form of Business, owners have limited liability.

Select correct option:

sole proprietorship

partnership

joint stock company

none of the above

13. Suppose the initial investment for a project is Rs. 16 million and the cash flows are Rs. 4 million in the first year and Rs. 9 million in the second and Rs. 5 million in the third. The project will have a payback period of:

Select correct option:

2.6 Years

3.1 Years

3.7 Years

4.1 Years

14. Which of the following is NOT a shortcoming of Payback Rule?

Select correct option:

Time value of money is ignored

It fails to consider risk differences

Simple and easy to calculate

None of the given options pg 106

15. When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:

Select correct option:

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Debt securities or bonds pg 71

Common Stocks

Preferred Stock

All of the given options

16. Treasury notes and bonds are examples of which of the following types of bonds?

Select correct option:

Government bonds 85

Zero coupon bonds

Floating-rate bonds

Euro bonds

17. When real rate is _____, all interest rates will tend to be _____.

Select correct option:

Low; higher

High; lower

High; higher pg 88

None of the given options

18. Which of the following statements is(are) CORRECT regarding a bond?

Select correct option:

A bond is an evidence of debt issued by a corporation or a governmental body. A bond represents a loan made by investors to the issuer.

When a corporation wishes to borrow from public on a long term basis, it does so by issuing or selling bonds.

All of the given options

19. Between the two identical bonds having different coupon, the price of the _____ bond will change less than that of _____ bond.

Select correct option:

Higher-coupon; lower-coupon

Lower-coupon; higher-coupon

Long-term; short-term

None of the given options

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20. As the dividend is always same for a zero growth stock, so the stock can also be viewed as:

Select correct option:

Ordinary Annuity

Annuity Due

Ordinary perpetuity pg 91

None of the given options

21. The coupon rate of a floating-rate bond is capped and upper and lower rates are called:

Select correct option:

Float

Collar pg 86

Limit

Surplus

22. Internal Rate of Return (IRR) is sometimes referred to as:

Select correct option:

Simple Interest Rate

Compound Interest Rate

Economic Rate of Return

Required Rate of Return

23. If the dividend for a share is growing at a steady rate then which of the following formula(s) can be used to find the dividend in two periods?

Select correct option:

$$D_2 = D_1 \times (1 + g)$$

$$D_2 = D_0 \times (1 + g)^2$$

$$D_2 = D_0 \times (1 + g)^2$$

All of the given options pg 92

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24. A project whose acceptance does not prevent or require the acceptance of one or more alternative projects is referred to as a(n):

Select correct option:

mutually exclusive project

independent project

dependent project

contingent project

25. A project has an initial investment of Rs. 600,000. What would be the NPV for the project if it has a profitability index of 1.12?

Select correct option:

Rs. 40,000

Rs. 55,000

Rs. 65,000

Rs. 72,000

Reference=600000*1.12=672000-600000=72000

26. Which of the following statement is TRUE regarding debt?

Select correct option:

Debt is an ownership interest in the firm.

Unpaid debt can result in bankruptcy or financial failure. Pg 78

Debt provides the voting rights to the bondholders.

Corporation's payment of interest on debt is fully taxable.

27. If a firm is allowed to miss a coupon payment on a bond in a year in which it reports an operating loss, the bond is most likely a(n) _____ bond.

Select correct option:

Income

Zero coupon

Floating-rate

Put

28. A _____ covenant limits or prohibits actions that company might take.

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Select correct option:

Positive

Negative pg 80

Neutral

None of the given options

29. IRR and NPV rules always lead to identical decisions as long as:

Select correct option:

Cash flow s are conventional

Cash flow s are independent

Cash flow s are both conventional and independent pg 110

None of the given options

30. Which of the following allows a company to repurchase part or all of the bond issue at a stated price?

Select correct option:

Repayment

Seniority

Call provision

Protective covenants

31. Which of the following is NOT a quality of IRR?

Select correct option:

Most widely used

Ideal to rank the mutually exclusive investments pg 116

Easily communicated and understood

Can be estimated even without knowing the discount rate

32. In which type of the market, previously issued securities are traded among investors?

Select correct option:

Primary Market

Secondary Market pg 100

TertiaryMarket

None of the given options

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33. A model which makes an assumption about the future growth of dividends is known as:

Select correct option:

Dividend Price Model

Dividend Growth Model

Dividend Policy Model

All of the given options

34. Which of the following represents the linear relation between Net Present Value (NPV) and Profitability Index (PI)?

Select correct option:

If Profitability Index > 1 , NPV is Negative (-)

If Profitability Index < 1 , NPV is Positive (+)

If Profitability Index > 1 , NPV is Positive (+)

If Profitability Index > 1 , NPV is Zero (0)

35. Which of the following comes under the head of discounted cash flow criteria for capital budgeting decisions?

Select correct option:

Payback Period

Net Present Value pg 118

Average Accounting Return

36.

Which of the following is NOT included in discounted cash flow criteria for capital budgeting decision?

Select correct option:

Payback Period pg 119

Net Present Value

Profitability Index

Internal Rate of Return

37. Which of the following is an example of positive covenant?

Select correct option:

Maintaining any collateral or security in good condition

Limiting the amount of dividend according to some formula

Restricting pledging assets to other lenders

Barring merger with another firm

38. Which of the following is the most common capital budgeting technique?

Select correct option:

Payback Period

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Net Present Value

Internal Rate of Return

Profitability Index

39. Which of the following measures the present value of an investment per dollar invested?

Select correct option:

Net Present Value (NPV)

Average Accounting Return (AAR)

Internal Rate of Return (IRR)

Profitability Index (PI) pg 119

40. Which of the following is a measure of accounting profit relative to the book value?

Select correct option:

Net Present Value
Profitability Index
Internal Rate of Return

[Average Accounting Return pg 119](#)

41. Which one of the following typically applies to preferred stock but not to common stock?

Select correct option:
Dividend yield

[Cumulative dividends](#)

Voting rights
Tax deductible dividends

42. Treasury notes and bonds are examples of which of the following types of bonds?

Select correct option:

[Government bonds pg 86](#)

Zero coupon bonds
Floating-rate bonds
Euro bonds

43. Expectation of a ____ inflation rate will push long term interest rates ____ than short term rates reflected by an upward term structure.

Select correct option:

Lower; higher
Higher; lower

[Higher; higher pg 88](#)

None of the given options

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44. A company issues bonds with a Rs. 1,000 face value. What is the coupon rate if the coupon payments of Rs. 60 are paid every 6months?

Select correct option:

3 percent
6 percent
9 percent

[12 percent](#)

$60 \times 2 = 120 / 1000 = 12\%$

45. The projected cash flows from a project are: Year 1: Rs. 100 Year 2: Rs. 300 Year 3: Rs. 400 Year 4: Rs. 800 The Project cost is Rs. 800. What would be the payback period for the project?

Select correct option:

2.00 Years
2.67 Years

[3.00 Years](#)

3.67 Years

Project=800 paid in 1 year=100, 2nd year=300 and 3rd year=400 total 800 paid in 3rd year

In which of the following type of annuity, cash flows occur at the beginning of each period?

Select correct option:

Ordinary annuity

[Annuity due pg 66](#)

Perpetuity

None of the given options

46. Which of the following is NOT an important feature of treasury notes and bonds?

Select correct option:

Default free

Taxable

Least liquid pg 90

Highly liquid

Which of the following is NOT a determinant of term structure?

Select correct option:

Real rate of interest

Internal rate of interest pg 88

Expected inflation

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Interest rate risk

47. Which of the following is the amount of time required for an investment to generate cash flows sufficient to recover its initial cost?

Select correct option:

Yield to maturity

Maturity Period

Payback period pg 104

Accounts Receivable period

m.q .z

48. In which type of the market, securities are originally sold to the investors?

Select correct option:

PrimaryMarket

SecondaryMarket

TertiaryMarket

None of the given options

49. A _____ is an agent who arranges security transactions among investors.

Select correct option:

Broker pg 100

Dealer

Member

Specialist

volatile

50. Which of the following is a characteristic of preferred stock?

Select correct option:

These stocks have not stated liquidating value

Dividends on these stocks can be cumulative pg 100

These bonds hold credit ratings quite different from bonds

These stocks have not any kind of priority over common stocks

51. Which of the following type of bond pays no coupon at all and are offered at a price that is much lower than its stated value?

Select correct option:

Government bonds

Zero coupon bonds pg 85

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Floating-rate bonds

Euro bonds

52. An investment will be _____ if the IRR doesn't exceeds the required return and _____ otherwise.

Select correct option:

Accepted; rejected

Accepted; accepted

Rejected; rejected

Rejected; accepted pg 109 conceptual

53. Which of the following comes under the head of accounting criteria for capital budgeting decision?

Select correct option:

Payback Period

Net Present Value

Profitability Index

Average Accounting Return pg 119

54. Which of the following is a series of constant cash flows that occur at the end of each period for some fixed number of periods?

Select correct option:

Ordinary annuity pg 63

Annuity due

Perpetuity

None of the given options

55. Which of the following term refers to the difference between the present value of cash inflows and the present value of cash outflows?

Select correct option:

Net Present Value (NPV)

Average Accounting Return (AAR)

Internal Rate of Return (IRR)

Profitability Index (PI)

56. One would be indifferent between taking and not taking the investment when:

Select correct option:

NPV is greater than Zero

NPV is equal to Zero pg 104 doubt ask question in mdb

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NPV is less than Zero

All of the given options

57. Which one of the following terms refers to the risk arises for bond owners from fluctuating interest rates?

Select correct option:

Fluctuations Risk

Interest Rate Risk pg75

Real-Time Risk

Inflation Risk

58. All else equal, the market value of a corporate bond is always inversely

related to its:

Select correct option:

Time to maturity

Coupon rate

Yield to maturity

All of the given options

59. Which of the following issue is NOT covered by “Investment” area of finance?

Select correct option:

Best mixture of financial investment

International aspects of corporate finance

Associated risks and rewards

Pricing financial assets

60. Period costs include which of the following?

Select correct option:

Selling expense

Raw material

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Direct labor

Manufacturing overhead

61. Product costs include which of the following?

Select correct option:

Selling expenses

General expenses

Manufacturing overhead

Administrative expenses

62. Financial policy is evaluated by which of the following?

Select correct option:

Profit Margin

Total Assets Turnover

Debt-equity ratio

None of the given options

63. Cash flow from assets involves which of the following component(s)?

Select correct option:

Operating cash flow

Capital spending

Change in net working capital

All of the given options

64. Which of the following refers to the cash flows that result from the firm's day-to-day activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows

Financing Cash Flows

All of the given options

65. Finance is vital for which of the following business activity (activities)?

Select correct option:

Marketing Research

Product Pricing

Design of marketing and distribution channels

[All of the given options](#)

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66. Which of the following costs are reported on the income statement as the cost of goods sold?

Select correct option:

Product cost

Period cost

[Both product cost and period cost](#)

Neither product cost nor period cost

67. Standard Company had net sales of Rs. 750,000 over the past year. During that time, average receivables were Rs. 150,000. Assuming a 365-day year, what was the average collection period?

Select correct option:

5 days

36 days

48 days

[73 days](#)

$750000/150000=5$

$365/5=73\text{days}$

68. Which of the following terms refers to the use of debt financing?

Select correct option:

Operating Leverage

[Financial Leverage](#)

Manufacturing Leverage

None of the given options

69. In which type of market, new securities are traded?

Select correct option:

[Primary market](#)

Secondary market

Tertiary market

None of the given options

70. Which of the following ratios are particularly interesting to short-term creditors?

Select correct option:

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Liquidity Ratios

Long-term Solvency Ratios

Profitability Ratios

Market Value Ratios

71. shows the sources from which cash has been generated and how it has been spent during a period of time?

Select correct option:

[Income Statement](#)

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

72. Standard Corporation sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):

Select correct option:

Operating activity

Investing activity

Financing activity

None of the given options

73. me: Quick Ratio is also known as:

Select correct option:

Current Ratio

Acid-test Ratio

Cash Ratio

74. of the following statement measures performance over a specific period of time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Retained Earning Statement

75. Which of the following statement shows assets, liabilities, and net worth as of a specific date?

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Select correct option:

Income Statement

Balance Sheet

Owner's Equity Statement

Cash Flow Statement

76. A portion of profits, which a company retains itself for further expansion, is known as:

Select correct option:

Dividends

Retained Earnings

Capital Gain

None of the given options

77. Which one of the following is NOT a liquidity ratio?

Select correct option:

Current Ratio

Quick Ratio

Cash Coverage Ratio

Cash Ratio

78. Which of the following ratio gives an idea as to how efficient management is at using its assets to generate earnings?

Select correct option:

Profit Margin

Return on Assets

Return on Equity

Total Assets Turnover

79. Which of the following is an example of capital spending?

Select correct option:

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Purchase of Fixed Assets

Decrease in NetWorking Capital

Increase in NetWorking Capital

None of the given options

80. Which of the following is measured by profit margin?

Select correct option:

Operating efficiency

Asset use efficiency

Financial policy

Dividend policy

81. Who of the following make a broader use of accounting information?

Select correct option:

Accountants

Financial Analysts

Auditors

Marketers

82. Which of the following set of ratios is used to assess a business's ability to generate earnings as compared to its expenses and other relevant costs incurred during a specific period of time?

Select correct option:

Liquidity Ratios

Leverage Ratios

Profitability Ratios

Market Value Ratios

83. A company having a current ratio of 1 will have _____ net working capital.

Select correct option:

Positive

Negative

zero

None of the given options

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84. which of the following is not a form of business organization

Select correct option:

sole proprietorship

partnership

joint stock company

cooperative Society

85. Which of the following ratios are intended to address the firm's financial leverage?

Select correct option:

Liquidity Ratios

Long-term Solvency Ratios

Asset Management Ratios

Profitability Ratios

86. The accounting definition of income is:

Select correct option:

Income = Current Assets - Current Liabilities

Income = Fixed Assets - Current Assets

Income = Revenues - Current Liabilities

Income = Revenues - Expenses

87. Which of the following item(s) is(are) not included while calculating Operating Cash Flows?

Select correct option:

Depreciation

Interest

Expenses related to firm's financing of its assets

All of the given options

88. Suppose market value exceeds book value by Rs. 250,000. What will be the after-tax proceeds if there is a tax rate of 34 percent ?

Select correct option:

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Rs. 105,600

Rs. 148,500

Rs. 165,000

Rs. 225,000

Solution = $250000 \times 34\% = 85000$

$250,000 - 85000 = 165000$

89. When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:

Select correct option:

Debt securities or bonds lec 17

Common Stocks

Preferred Stock

All of the given options

90. In which type of market, used securities are traded?

Select correct option:

Primary market

Secondary market

Tertiary market

None of the given options

91. Who of the following make a broader use of accounting information?

Select correct option:

Accountants

Financial Analysts lec 2

Auditors

Marketers

92. Which of the following is (are) a non-cash item(s) ?

Select correct option:

Revenue

Expenses

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Depreciation

All of the given options

93. What will be the coupon value of a Rs. 1,000 face-value bond with a 10% coupon rate?

Select correct option:

Rs. 100

Rs. 510

Rs. 1,000

Rs. 1,100

Solution:

$=1000/10$

$=100$

94. Which of the following comes under the head of discounted cash flow criteria for capital budgeting decisions?

Select correct option:

Payback Period lec 28

Net Present Value

Average Accounting Return

None of the given options

95. Period costs include which of the following?

Select correct option:

Selling expense

Raw material

Direct labor

Manufacturing overhead

96. The value of net working capital will be greater than zero when:

Select correct option:

Current Assets > Current Liabilities

Current Assets < Current Liabilities

Current Assets = Current Liabilities

None of the given options

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97. According to Du Pont Identity, ROE is affected by which of the following?

Select correct option:

Operating efficiency

Asset use efficiency

Financial Leverage

All of the given options

98. Which of the following issue is NOT covered by “Investment” area of finance?

Select correct option:

Best mixture of financial investment

International aspects of corporate finance

Associated risks and rewards

Pricing financial assets

99. Standard Corporation sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):

Select correct option:

Operating activity

Investing activity

Financing activity

None of the given options

100. Balance sheet for a company reports current assets of Rs. 700,000 and current liabilities of Rs. 460,000. What would be the Current Ratio for the company if there is an inventory level of Rs. 120,000?

Select correct option:

1.01

1.26

1.39

1.52

Solution= $700000/460000=1.52$

101. In which type of business, all owners share in gains and losses and all have unlimited liability for all business debts?

Select correct option:

Sole-proprietorship

General Partnership pg 6

Limited Partnership

Corporation

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102. a firm uses cash to purchase inventory, its current ratio will:

Select correct option:

Increase

Decrease

Remain unaffected

Become zero

103. Which of the following is a special case of annuity, where the stream of cash flows continues forever?

Select correct option:

Ordinary Annuity

Special Annuity

Annuity Due

Perpetuity

104. Which of the following is an example of positive covenant?

Select correct option:

Maintaining any collateral or security in good condition

Limiting the amount of dividend according to some formula

Restricting pledging assets to other lenders

Barring merger with another firm

105. Which of the following refers to the difference between the sale price and cost of inventory?

Select correct option:

Net loss

Net worth

Markup

Markdown

106. Which of the following allows a company to repurchase part or all of the bond issue at a stated price?

Select correct option:

Repayment

Seniority

Call provision

Protective covenants

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107. _____ shows the sources from which cash has been generated and how it has been spent during a period of time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

108. **Which of the following is a cash flow from financing activity?**

Select correct option:

Cash outflow to the government for taxes

Cash outflow to shareholders as dividends

Cash outflow to lenders as interest

Cash outflow to purchase bonds issued by another company

109. **Which of the following form of business organization is least regulated?**

Select correct option:

Sole proprietorship

General Partnership

Limited Partnership

Corporation

110. **The principal amount of a bond at issue is called:**

Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

111. **Which of the following relationships holds TRUE if a bond sells at a discount?**

Select correct option:

Bond Price < Par Value and YTM > coupon rate

Bond Price > Par Value and YTM > coupon rate

Bond Price > Par Value and YTM < coupon rate

Bond Price < Par Value and YTM < coupon rate

112. **When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:**

Select correct option:

Debt securities or bonds

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Common Stocks

Preferred Stock

All of the given options

113. **Which of the following item provides the important function of shielding part of income from taxes?**

Select correct option:

Inventory

Supplies

Machinery

Depreciation

114. **A firm reports total liabilities of Rs. 300,000 and owner's equity of Rs. 500,000. What would be the total worth of the firm's assets?**

Select correct option:

Rs. 300,000

Rs. 500,000

Rs. 800,000

Rs. 1100,000

sol

Asset= liabilities+ capital so $300+500=800,000$

115. Which of the following forms of business organizations is created as a distinct legal entity owned by one or more individuals or entities?

Select correct option:

Sole-proprietorship

General Partnership

Limited Partnership

Corporation

116. in which form of Business, owners have limited liability.

Select correct option:

sole proprietorship

partnership

joint stock company

none of the above

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117. Which of the following equation is known as Cash Flow (CF) identity?

Select correct option:

CF from Assets = CF to Creditors - CF to Stockholder

CF from Assets = CF to Stockholders - CF to Creditors

CF to Stockholders = CF to Creditors + CF from Assets

CF from Assets = CF to Creditors + CF to Stockholder

118. The difference between current assets and current liabilities is known as:

Select correct option:

Surplus Asset

Short-term Ratio

Working Capital

Current Ratio

119. A borrower is able to pay Rs. 40,000 in 5 years. Given a discount rate of 12 percent, what amount of money the lender should lend?

Select correct option:

Rs. 14,186

Rs. 18,256

Rs. 22,697

Rs. 28,253

solution

$40000 * 1 / (1 + 0.12)^5 = 22697.07$

120. Which of the following statement is considered as the accountant's snapshot of firm's accounting value as of a particular date?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Retained Earning Statement

121. The principal amount of a bond at issue is called:

Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

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122. Which of the following statement about bond ratings is TRUE?

Select correct option:

Bond ratings are typically paid for by a company's bondholders.

Bond ratings are based solely on information acquired from sources other than the bond issuer.

Bond ratings represent an independent assessment of the credit-worthiness of bonds.

None of the given options

123. Which of the following is the acronym for GAAP?

Select correct option:

Generally Applied Accountability Principles

General Accounting Assessment Principles

Generally Accepted Accounting Principles

General Accepted Assessment Principles

124. Which of the following is NOT an internal use of financial statements information?

Select correct option:

Planning for the future through historic information

Evaluation of performance through profit margin and return on equity

Evaluation of credit standing of new customer

None of the given options

125. A firm has paid out Rs. 150,000 as dividends from its net income of Rs. 250,000. What is the retention ratio for the firm?

Select correct option:

12 %

25 %

40%

60 %

Solution

Net income-dividend / net income *100

$250000-150000/250000*100=40\%$

A company having a current ratio of 1 will have _____ net working capital. Select correct option:

Positive

Negative

zero

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None of the given options

126. A portion of profits, which a company distributes among its shareholders, is known as:

Select correct option:

Dividends

Retained Earnings

Capital Gain

None of the given options

127. Which of the following is(are) the basic area(s) of Finance?

Select correct option:

Financial institutions

International finance

Investments

All of the given options

128. Which of the following ratios is NOT from the set of Asset Management Ratios?

Select correct option:

Inventory Turnover Ratio

Receivable Turnover

Capital Intensity Ratio

Return on Assets

129. You just won a prize, you can either receive Rs. 1000 today or Rs. 1,050 in one year. Which option do you prefer and why if you can earn 5 percent on your money?

Select correct option:

Rs. 1,000 because it has the higher future value

Rs. 1,000 because you receive it sooner

Rs. 1,050 because it is more money

Either because both options are of equal value

130. Which of the following terms refers to the use of debt financing?

Select correct option:

Operating Leverage

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Financial Leverage

Manufacturing Leverage

None of the given options

b

131. You need Rs. 10,000 to buy a new television. If you have Rs. 6,000 to invest at 5 percent compounded annually, how long will you have to wait to buy the television?

Select correct option:

8.42 years

10.51 years

15.75 years

18.78 years

$6000(1+5\%)^{10.51} \approx 10,000$

132. Which of the following is an example of positive covenant?

Select correct option:

Maintaining firm's working capital at or above some specified minimum level

Furnishing audited financial statements periodically to the lender

Maintaining any collateral or security in good condition

Restricting selling or leasing assets

133. Which of the following is measured by retention ratio?

Select correct option:

Operating efficiency

Asset use efficiency

Financial policy

Dividend policy

134. Which of the following statement shows assets, liabilities, and net worth as of a specific date?

Select correct option:

Income Statement

Balance Sheet

Owner's Equity Statement

Cash Flow Statement

Armaan: b

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135. **Product costs include which of the following?**

Select correct option:

Selling expenses

General expenses

Manufacturing overhead

Administrative expenses

136. An account was opened with an investment of Rs. 3,000 ten years ago.

The ending balance in the account is Rs. 4,100. If interest was compounded, how much compounded interest was earned?

Select correct option:

Rs. 500

Rs. 752

Rs. 1,052

Rs. 1,100

$4100 - 3000 = 1100$

137. **What is the effective annual rate of 7 percent compounded monthly?**

Select correct option:

7.00 percent

7.12 percent

7.19 percent

7.23 percent

138. **Which of the following cash flow activities are reported in the Cash Flow Statement and Income Statement?**

Select correct option:

Operating Activities

Investing Activities

Financing Activities

All of the given options

139. **Which of the following term refers to establish of a standard to follow for comparison?**

Select correct option:

Benchmarking 48

Standardizing

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Comparison

Evaluation

140. **Which of the following is measured by profit margin?**

Select correct option:

Operating efficiency pg 44

Asset use efficiency

Financial policy

Dividend policy

141. **Rule of 72 for finding the number of periods is fairly applicable to**

which of the following range of discount rates?

Select correct option:

2%to 8%

4%to 25%

5% to 20%

10% to 50%

142. Which of the following refers to a conflict of interest between principal and agent?

Select correct option:

Management Conflict

Interest Conflict

Agency Problem

None of the given options

143. Which of the following is a series of constant cash flows that occur at the end of each period for some fixed number of periods?

Select correct option:

Ordinary annuity

Annuity due

Perpetuity

None of the given options

144. Which of the following area of finance deals with stocks and bonds?

Select correct option:

Financial institutions

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International finance

Investments

All of the given options

145. 7:03 AM Which of the following is NOT an external use of financial statements information?

Select correct option:

Evaluation of credit standing of new customer

Evaluation of financial worth of supplier

Evaluation of potential strength of the competitor

Evaluation of performance through profit margin and return on equity

146. Which of the following is(are) the basic area(s) of Finance?

Select correct option:

Financial institutions

International finance

Investments

All of the given options

147. If a firm has a ROA of 8 percent, sales of Rs. 100,000, and total assets of Rs. 75,000. What is the profit margin?

Select correct option:

4.30%

6.00%

10.70%

16.73%

solution

Net income =ROA*total asset

Net income=8%*75000=6000

Profit margin=net income/ sales*100

Profit margin=6000/100000*100= 6%

148. Which of the following is the process of planning and managing a firm's long-term investments?

Select correct option:

Capital Structuring

Capital Rationing

Capital Budgeting

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Working Capital Management

149. Which of the following refers to the cash flows that result from the firm's day-to-day activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows

Financing Cash Flows

All of the given options

150. Quick Ratio is also known as:

Select correct option:

Current Ratio

Acid-test Ratio

Cash Ratio

None of the given options

151. Mr. Y and Mr. Z are planning to share their capital to run a business.

They are going to employ which of the following type of business?

Select correct option:

Sole-proprietorship

Partnership

Corporation

None of the given options

152. If you have Rs. 30 in asset A and Rs. 120 in another asset B, the weights for assets A and B will be __ and __ respectively.

Select correct option:

20%; 80%

37%; 63%

63%; 37%

80%; 20%

153. When corporations borrow, they generally promise to: I. Make regular scheduled interest payments II. Give the right of voting to bondholders III. Repay the original amount borrowed (principal) IV. Give an ownership interest in the firm

Select correct option:

I and II

I and III

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II and IV

I, III, and IV

154. Which of the following is NOT included in a bond indenture?

Select correct option:

The basic terms of bond issue

The total amount of bonds issued

[A personal profile of the issuer](#)

A description of the security

155. **What would be the present value of Rs. 10,000 to be received after 6 years at a discount rate of 8 percent?**

Select correct option:

[Rs. 6,302](#)

Rs. 9,981

Rs. 14,800

Rs. 15,869

156. **Which of the following statement is TRUE regarding debt?**

Select correct option:

Debt is an ownership interest in the firm.

[Unpaid debt can result in bankruptcy or financial failure.](#)

Debt provides the voting rights to the bondholders.

Corporation's payment of interest on debt is fully taxable.

157. **The preferred stock of a company currently sells for Rs. 25 per share. The annual dividend of Rs. 2.50 is fixed. Assuming a constant dividend forever, what is the rate of return on this stock?**

Select correct option:

5.00 percent

7.00 percent

8.45 percent

[10.0 percent](#)

158. **Which of the following is a special case of annuity, where the stream of cash flows continues forever?**

Select correct option:

Ordinary Annuity

Special Annuity

AnnuityDue

[Perpetuity](#)

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159. **JJ Inc. has a 4 percent return on total assets of Rs. 500,000 and a net profit margin of 5 percent. Total sales for JJ Inc. would be :**

Select correct option:

Rs. 150,000

Rs. 200,000

Rs. 250,000

[Rs. 400,000](#)

ROTA = N.P / Total Assets

4% = N.P / 500,000

4% * 500,000 = N.P

N.P = Rs. 20,000

N.P Margin = N.P / Sales

5% = 20,000 / Sales

5%* Sales = 20,000

Sales = 20,000 / 5%

Sales = 400,000

160. **Which of the following rate makes the Net Present Value (NPV) equal to zero?**

Select correct option:

Average Accounting Return (AAR)

Internal Rate of Return (IRR) pg 109

Required Rate of Return (RRR)

Weighted Average Cost of Capital (WACC)

161. **Which of the following is the expected rate of return on a bond if bought at its current market price and held to maturity**

Select correct option:

Current Yield

Yield To Maturity

Coupon Yield

Capital Gains Yield

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162. **If a firm uses cash to purchase inventory, its quick ratio**

will: Select correct option:

Increase

Decrease

Remain unaffected

Become zero

163. **a firm uses cash to purchase inventory, its current ratio**

will: Select correct option:

Increase

Decrease

Remain unaffected

Become zero

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ACC 501 Solved MCQ'S For MID & Final Exam

1. Which of the following is an example of positive covenant?

Select correct option:

Maintaining firm's working capital at or above some specified minimum level

Furnishing audited financial statements periodically to the lender

Maintaining any collateral or security in good condition

Restricting selling or leasing assets wrong question option d is negative and all is positive example

Wrong, wrong, wrong question it is unfair discipline

2. AST Company's debt-to-total assets ratio is 0.45. What is its debt -to-equity ratio?

Select correct option:

0.101

0.220

0.667

0.818

Reference: $(1-0.45=0.55)$

$=0.45/0.55=0.818$

3. What amount a borrower would pay at the end of fourth year with a 4-year, 12%, interest-only loan of Rs. 8,000?

Select correct option:

Rs. 1,360

Rs. 2,000

Rs. 5,625

Rs. 8,960

Reference: $8000 \times 12 / 100 = 8960$

4. What will be the price per share if there is a current dividend of Rs. 4.75, required rate of return of 12% and growth rate of 5%?

Select correct option:

Rs. 30.19

Rs. 43.52

Rs. 56.53

Rs. 71.25

Reference: $D \times (1 + g) / (r - g)$

$4.75 \times (1 + 0.05) / (0.12 - 0.05) = 71.25$

5. A given rate is quoted as 9 percent APR, but the EAR is 9.38 percent. What is the compounding period?

Select correct option:

Semiannually

Quarterly

Monthly

Daily

Reference: $(1 + APR/m)^m - 1$

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APR=9

M=30

$(1 + 9/30)^{30} - 1 = 9.38$

6. Mr. Aslam owns 100 shares of a company and there are four directors to be elected. How much votes Mr. Aslam would have as per cumulative voting procedure?

Select correct option:

100 votes

200 votes

300 votes

400 votes

Reference: $100 \times 4 = 400$

7. SNT Corporation has policy of paying a Rs. 6 per share dividend every year. If this policy is to continue indefinitely, what will be the value of a share of stock at a 15% required rate of return?

Select correct option:

Rs. 30

Rs. 40

Rs. 50

Rs. 60

Reference: $6 / 0.15 = 40$

8. Which of the following process can be defined as the process of generating earnings from previous earnings?

Select correct option:

Discounting

Compounding

Factorization

None of the given options

9. **Which of the following is the amount of cash we would get if we actually sell an asset?**

Select correct option:

Market Value

Book Value

Intrinsic Value

None of the given options

10.

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11. **Which of the following financial statement shows both dollars and percentages in the report?**

Select correct option:

Balance Sheet

Common-Size Statement

Income Statement

Relative Statement of Equity

12. **in which form of Business, owners have limited liability.**

Select correct option:

sole proprietorship

partnership

joint stock company

none of the above

13. **Suppose the initial investment for a project is Rs. 16 million and the cash flows are Rs. 4 million in the first year and Rs. 9 million in the second and Rs. 5 million in the third. The project will have a payback period of:**

Select correct option:

2.6 Years

3.1 Years

3.7 Years

4.1 Years

14. **Which of the following is NOT a shortcoming of Payback Rule?**

Select correct option:

Time value of money is ignored

It fails to consider risk differences

Simple and easy to calculate

None of the given options pg 106

15. **When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:**

Select correct option:

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Debt securities or bonds pg 71

Common Stocks

Preferred Stock

All of the given options

16. **Treasury notes and bonds are examples of which of the following types of bonds?**

Select correct option:

Government bonds 85

Zero coupon bonds

Floating-rate bonds

Euro bonds

17. **When real rate is _____, all interest rates will tend to be _____.**

Select correct option:

Low; higher

High; lower

High; higher pg 88

None of the given options

18. **Which of the following statements is(are) CORRECT regarding a bond?**

Select correct option:

A bond is an evidence of debt issued by a corporation or a governmental body. A bond represents a loan made by investors to the issuer.

When a corporation wishes to borrow from public on a long term basis, it does so by issuing or selling bonds.

All of the given options

19. **Between the two identical bonds having different coupon, the price of the _____ bond will change less than that of _____ bond.**

Select correct option:

Higher-coupon; lower-coupon

Lower-coupon; higher-coupon

Long-term; short-term

None of the given options

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20. **As the dividend is always same for a zero growth stock, so the stock can also be viewed as:**

Select correct option:

Ordinary Annuity

Annuity Due

Ordinary perpetuity pg 91

None of the given options

21. **The coupon rate of a floating-rate bond is capped and upper and lower rates are called:**

Select correct option:

Float

Collar pg 86

Limit

Surplus

22. **Internal Rate of Return (IRR) is sometimes referred to as:**

Select correct option:

Simple Interest Rate

Compound Interest Rate

Economic Rate of Return

Required Rate of Return

23. **If the dividend for a share is growing at a steady rate then which of the following formula(s) can be used to find the dividend in two periods?**

Select correct option:

$D_2 = D_1 \times (1 + g)$

$D_2 = D_0 \times (1 + g)^2$

$D_2 = D_0 \times (1 + g)^2$

All of the given options pg 92

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24. A project whose acceptance does not prevent or require the acceptance of one or more alternative projects is referred to as a(n):

Select correct option:

mutually exclusive project

independent project

dependent project

contingent project

25. A project has an initial investment of Rs. 600,000. What would be the NPV for the project if it has a profitability index of 1.12?

Select correct option:

Rs. 40,000

Rs. 55,000

Rs. 65,000

Rs. 72,000

Reference=600000*1.12=672000-600000=72000

26. Which of the following statement is TRUE regarding debt?

Select correct option:

Debt is an ownership interest in the firm.

Unpaid debt can result in bankruptcy or financial failure. Pg 78

Debt provides the voting rights to the bondholders.

Corporation's payment of interest on debt is fully taxable.

27. If a firm is allowed to miss a coupon payment on a bond in a year in which it reports an operating loss, the bond is most likely a(n) _____ bond.

Select correct option:

Income

Zero coupon

Floating-rate

Put

28. A _____ covenant limits or prohibits actions that company might take.

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Select correct option:

Positive

Negative pg 80

Neutral

None of the given options

29. IRR and NPV rules always lead to identical decisions as long as:

Select correct option:

Cash flow s are conventional

Cash flow s are independent

Cash flow s are both conventional and independent pg 110

None of the given options

30. Which of the following allows a company to repurchase part or all of the bond issue at a stated price?

Select correct option:

Repayment

Seniority

Call provision

Protective covenants

31. Which of the following is NOT a quality of IRR?

Select correct option:

Most widely used

Ideal to rank the mutually exclusive investments pg 116

Easily communicated and understood

Can be estimated even without knowing the discount rate

32. In which type of the market, previously issued securities are traded among investors?

Select correct option:

Primary Market

Secondary Market pg 100

TertiaryMarket

None of the given options

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33. A model which makes an assumption about the future growth of dividends is known as:

Select correct option:

Dividend Price Model

Dividend GrowthModel

Dividend PolicyModel

All of the given options

34. Which of the following represents the linear relation between Net Present Value (NPV) and Profitability Index (PI)?

Select correct option:

If Profitability Index > 1 , NPV is Negative (-)

If Profitability Index < 1 , NPV is Positive (+)

If Profitability Index > 1 , NPV is Positive (+)

If Profitability Index > 1 , NPV is Zero (0)

35. Which of the following comes under the head of discounted cash flow criteria for capital budgeting decisions?

Select correct option:

Payback Period

Net Present Value pg 118

AverageAccounting Return

36.

Which of the following is NOT included in discounted cash flow criteria for capital budgeting decision?

Select correct option:

Payback Period pg 119

Net Present Value

Profitability Index

Internal Rate of Return

37. Which of the following is an example of positive covenant?

Select correct option:

Maintaining any collateral or security in good condition

Limiting the amount of dividend according to some formula

Restricting pledging assets to other lenders

Barring merger with another firm

38. Which of the following is the most common capital budgeting technique?

Select correct option:

Payback Period

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Net Present Value

Internal Rate of Return

Profitability Index

39. Which of the following measures the present value of an investment per dollar invested?

Select correct option:

Net Present Value (NPV)

Average Accounting Return (AAR)

Internal Rate of Return (IRR)

Profitability Index (PI) pg 119

40. Which of the following is a measure of accounting profit relative to the book value?

Select correct option:

Net Present Value

Profitability Index

Internal Rate of Return

Average Accounting Return pg 119

41. Which one of the following typically applies to preferred stock but not to common stock?

Select correct option:

Dividend yield

Cumulative dividends

Voting rights

Tax deductible dividends

42. Treasury notes and bonds are examples of which of the following types of bonds?

Select correct option:

Government bonds pg 86

Zero coupon bonds

Floating-rate bonds

Euro bonds

43. Expectation of a ____ inflation rate will push long term interest rates ____ than short term rates reflected by an upward term structure.

Select correct option:

Lower; higher

Higher; lower

Higher; higher pg 88

None of the given options

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44. A company issues bonds with a Rs. 1,000 face value. What is the coupon rate if the coupon payments of Rs. 60 are paid every 6months?

Select correct option:

3 percent

6 percent

9 percent

12 percent

$60 + 60 = 120 / 1000 = 12\%$

45. The projected cash flows from a project are: Year 1: Rs. 100 Year 2: Rs. 300 Year 3: Rs. 400 Year 4: Rs. 800 The Project cost is Rs. 800. What would be

the payback period for the project?

Select correct option:

2.00 Years

2.67 Years

3.00 Years

3.67 Years

Project=800 paid in 1 year=100, 2nd year=300 and 3rd year=400 total 800 paid in 3rd year

In which of the following type of annuity, cash flows occur at the beginning of each period?

Select correct option:

Ordinary annuity

Annuity due pg 66

Perpetuity

None of the given options

46. Which of the following is NOT an important feature of treasury notes and bonds?

Select correct option:

Default free

Taxable

Least liquid pg 90

Highly liquid

Which of the following is NOT a determinant of term structure?

Select correct option:

Real rate of interest

Internal rate of interest pg 88

Expected inflation

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Interest rate risk

47. Which of the following is the amount of time required for an investment to generate cash flows sufficient to recover its initial cost?

Select correct option:

Yield to maturity

Maturity Period

Payback period pg 104

Accounts Receivable period

m.q .z

48. In which type of the market, securities are originally sold to the investors?

Select correct option:

PrimaryMarket

SecondaryMarket

TertiaryMarket

None of the given options

49. A _____ is an agent who arranges security transactions among investors.

Select correct option:

Broker pg 100

Dealer

Member

Specialist

volatile

50. **Which of the following is a characteristic of preferred stock?**

Select correct option:

These stocks have not stated liquidating value

Dividends on these stocks can be cumulative pg 100

These bonds hold credit ratings quite different from bonds

These stocks have not any kind of priority over common stocks

51. **Which of the following type of bond pays no coupon at all and are offered at a price that is much lower than its stated value?**

Select correct option:

Government bonds

Zero coupon bonds pg 85

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Floating-rate bonds

Euro bonds

52. **An investment will be _____ if the IRR doesn't exceeds the required return and _____ otherwise.**

Select correct option:

Accepted; rejected

Accepted; accepted

Rejected; rejected

Rejected; accepted pg 109 conceptual

53. **Which of the following comes under the head of accounting criteria for capital budgeting decision?**

Select correct option:

Payback Period

Net Present Value

Profitability Index

Average Accounting Return pg 119

54. **Which of the following is a series of constant cash flows that occur at the end of each period for some fixed number of periods?**

Select correct option:

Ordinary annuity pg 63

Annuity due

Perpetuity

None of the given options

55. **Which of the following term refers to the difference between the present value of cash inflows and the present value of cash outflows?**

Select correct option:

Net Present Value (NPV)

Average Accounting Return (AAR)

Internal Rate of Return (IRR)

Profitability Index (PI)

56. **One would be indifferent between taking and not taking the investment when:**

Select correct option:

NPV is greater than Zero

NPV is equal to Zero pg 104 doubt ask question in mdb

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NPV is less than Zero

All of the given options

57. Which one of the following terms refers to the risk arises for bond owners from fluctuating interest rates?

Select correct option:

Fluctuations Risk

Interest Rate Risk pg75

Real-Time Risk

Inflation Risk

58. All else equal, the market value of a corporate bond is always inversely related to its:

Select correct option:

Time to maturity

Coupon rate

Yield to maturity

All of the given options

59. Which of the following issue is NOT covered by “Investment” area of finance?

Select correct option:

Best mixture of financial investment

International aspects of corporate finance

Associated risks and rewards

Pricing financial assets

60. Period costs include which of the following?

Select correct option:

Selling expense

Raw material

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Direct labor

Manufacturing overhead

61. Product costs include which of the following?

Select correct option:

Selling expenses

General expenses

Manufacturing overhead

Administrative expenses

62. Financial policy is evaluated by which of the following?

Select correct option:

Profit Margin

Total Assets Turnover

Debt-equity ratio

None of the given options

63. Cash flow from assets involves which of the following component(s)?

Select correct option:

Operating cash flow

Capital spending

Change in net working capital

All of the given options

64. Which of the following refers to the cash flows that result from the firm's day-to-day activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows

Financing Cash Flows

All of the given options

65. Finance is vital for which of the following business activity (activities)?

Select correct option:

Marketing Research

Product Pricing

Design of marketing and distribution channels

All of the given options

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66. Which of the following costs are reported on the income statement as the cost of goods sold?

Select correct option:

Product cost

Period cost

Both product cost and period cost

Neither product cost nor period cost

67. Standard Company had net sales of Rs. 750,000 over the past year. During that time, average receivables were Rs. 150,000. Assuming a 365-day year, what was the average collection period?

Select correct option:

5 days

36 days

48 days

73 days

$750000/150000=5$

$365/5=73\text{days}$

68. Which of the following terms refers to the use of debt financing?

Select correct option:

Operating Leverage

Financial Leverage

Manufacturing Leverage

None of the given options

69. In which type of market, new securities are traded?

Select correct option:

Primary market

Secondary market

Tertiary market

None of the given options

70. Which of the following ratios are particularly interesting to short-term creditors?

Select correct option:

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Liquidity Ratios

Long-term Solvency Ratios

Profitability Ratios

Market Value Ratios

71. shows the sources from which cash has been generated and how it has been

spent during a period of time?

Select correct option:

[Income Statement](#)

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

72. **Standard Corporation** sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):

Select correct option:

Operating activity

Investing activity

Financing activity

None of the given options

73. **me: Quick Ratio** is also known as:

Select correct option:

Current Ratio

[Acid-test Ratio](#)

Cash Ratio

74. **of the following** statement measures performance over a specific period of time?

Select correct option:

[Income Statement](#)

Balance Sheet

Cash Flow Statement

Retained Earning Statement

75. **Which of the following** statement shows assets, liabilities, and net worth as of a specific date?

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Select correct option:

Income Statement

[Balance Sheet](#)

Owner's Equity Statement

Cash Flow Statement

76. **A portion of profits**, which a company retains itself for further expansion, is known as:

Select correct option:

Dividends

Retained Earnings

Capital Gain

None of the given options

77. **Which one of the following** is NOT a liquidity ratio?

Select correct option:

Current Ratio

Quick Ratio

[Cash Coverage Ratio](#)

Cash Ratio

78. **Which of the following** ratio gives an idea as to how efficient management is at using its assets to generate earnings?

Select correct option:

[Profit Margin](#)

Return on Assets

Return on Equity

Total Assets Turnover

79. Which of the following is an example of capital spending?

Select correct option:

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Purchase of Fixed Assets

Decrease in NetWorking Capital

Increase in NetWorking Capital

None of the given options

80. Which of the following is measured by profit margin?

Select correct option:

Operating efficiency

Asset use efficiency

Financial policy

Dividend policy

81. Who of the following make a broader use of accounting information?

Select correct option:

Accountants

Financial Analysts

Auditors

Marketers

82. Which of the following set of ratios is used to assess a business's ability to generate earnings as compared to its expenses and other relevant costs incurred during a specific period of time?

Select correct option:

Liquidity Ratios

Leverage Ratios

Profitability Ratios

Market Value Ratios

83. A company having a current ratio of 1 will have _____ net working capital.

Select correct option:

Positive

Negative

zero

None of the given options

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84. which of the following is not a form of business organization

Select correct option:

sole proprietorship

partnership

joint stock company

cooperative Society

85. Which of the following ratios are intended to address the firm's financial leverage?

Select correct option:

Liquidity Ratios

Long-term Solvency Ratios

Asset Management Ratios

Profitability Ratios

86. The accounting definition of income is:

Select correct option:

Income = Current Assets - Current Liabilities

Income = Fixed Assets - Current Assets

Income = Revenues - Current Liabilities

Income = Revenues - Expenses

87. Which of the following item(s) is(are) not included while calculating Operating Cash Flows?

Select correct option:

Depreciation

Interest

Expenses related to firm's financing of its assets

All of the given options

88. Suppose market value exceeds book value by Rs. 250,000. What will be the after-tax proceeds if there is a tax rate of 34 percent ?

Select correct option:

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Rs. 105,600

Rs. 148,500

Rs. 165,000

Rs. 225,000

Solution=250000*34%=85000

250,000-85000=165000

89. When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:

Select correct option:

Debt securities or bonds lec 17

Common Stocks

Preferred Stock

All of the given options

90. In which type of market, used securities are traded?

Select correct option:

Primary market

Secondary market

Tertiary market

None of the given options

91. Who of the following make a broader use of accounting information?

Select correct option:

Accountants

Financial Analysts lec 2

Auditors

Marketers

92. Which of the following is (are) a non-cash item(s) ?

Select correct option:

Revenue

Expenses

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Depreciation

All of the given options

93. What will be the coupon value of a Rs. 1,000 face-value bond with a 10% coupon rate?

Select correct option:

Rs. 100

Rs. 510

Rs. 1,000

Rs. 1,100

Solution:

$=1000/10$

$=100$

94. Which of the following comes under the head of discounted cash flow criteria for capital budgeting decisions?

Select correct option:

Payback Period lec 28

Net Present Value

Average Accounting Return

None of the given options

95. Period costs include which of the following?

Select correct option:

Selling expense

Raw material

Direct labor

Manufacturing overhead

96. The value of net working capital will be greater than zero when:

Select correct option:

Current Assets > Current Liabilities

Current Assets < Current Liabilities

Current Assets = Current Liabilities

None of the given options

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97. According to Du Pont Identity, ROE is affected by which of the following?

Select correct option:

Operating efficiency

Asset use efficiency

Financial Leverage

All of the given options

98. Which of the following issue is NOT covered by “Investment” area of finance?

Select correct option:

Best mixture of financial investment

International aspects of corporate finance

Associated risks and rewards

Pricing financial assets

99. Standard Corporation sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):

Select correct option:

Operating activity

Investing activity

Financing activity

None of the given options

100. Balance sheet for a company reports current assets of Rs. 700,000 and current liabilities of Rs. 460,000. What would be the Current Ratio for the company if there is an inventory level of Rs. 120,000?

Select correct option:

1.01

1.26

1.39

1.52

Solution= $700000/460000=1.52$

101. In which type of business, all owners share in gains and losses and all have unlimited liability for all business debts?

Select correct option:

Sole-proprietorship

General Partnership pg 6

Limited Partnerhsip

Corporation

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102. A firm uses cash to purchase inventory, its current ratio will:

Select correct option:

Increase

Decrease

Remain unaffected

Become zero

103. Which of the following is a special case of annuity, where the stream of cash flows continues forever?

Select correct option:

Ordinary Annuity

Special Annuity

Annuity Due

Perpetuity

104. Which of the following is an example of positive covenant?

Select correct option:

Maintaining any collateral or security in good condition

Limiting the amount of dividend according to some formula

Restricting pledging assets to other lenders

Barring merger with another firm

105. Which of the following refers to the difference between the sale price and cost of inventory?

Select correct option:

Net loss

Net worth

Markup

Markdown

106. Which of the following allows a company to repurchase part or all of the bond issue at a stated price?

Select correct option:

Repayment

Seniority

Call provision

Protective covenants

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107. _____ shows the sources from which cash has been generated and how it has been spent during a period of time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

108. Which of the following is a cash flow from financing activity?

Select correct option:

Cash outflow to the government for taxes

Cash outflow to shareholders as dividends

Cash outflow to lenders as interest

Cash outflow to purchase bonds issued by another company

109. Which of the following form of business organization is least regulated?

Select correct option:

Sole proprietorship

General Partnership

Limited Partnership

Corporation

110. The principal amount of a bond at issue is called:

Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

111. Which of the following relationships holds TRUE if a bond sells at a discount?

Select correct option:

Bond Price < Par Value and YTM > coupon rate

Bond Price > Par Value and YTM > coupon rate

Bond Price > Par Value and YTM < coupon rate

Bond Price < Par Value and YTM < coupon rate

112. When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:

Select correct option:

Debt securities or bonds

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Common Stocks

Preferred Stock

All of the given options

113. Which of the following item provides the important function of shielding part of income from taxes?

Select correct option:

Inventory

Supplies

Machinery

Depreciation

114. A firm reports total liabilities of Rs. 300,000 and owner's equity of Rs. 500,000. What would be the total worth of the firm's assets?

Select correct option:

Rs. 300,000

Rs. 500,000

Rs. 800,000

Rs. 1100,000

sol

Asset= liabilities+ capital so $300+500=800,000$

115. Which of the following forms of business organizations is created as a distinct legal entity owned by one or more individuals or entities?

Select correct option:

Sole-proprietorship

General Partnership

Limited Partnership

Corporation

116. in which form of Business, owners have limited liability.

Select correct option:

sole proprietorship

partnership

joint stock company

none of the above

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117. Which of the following equation is known as Cash Flow (CF) identity?

Select correct option:

CF from Assets = CF to Creditors - CF to Stockholder

CF from Assets = CF to Stockholders - CF to Creditors

CF to Stockholders = CF to Creditors + CF from Assets

CF from Assets = CF to Creditors + CF to Stockholder

118. The difference between current assets and current liabilities is known as:

Select correct option:

Surplus Asset

Short-term Ratio

Working Capital

Current Ratio

119. A borrower is able to pay Rs. 40,000 in 5 years. Given a discount rate of 12 percent, what amount of money the lender should lend?

Select correct option:

Rs. 14,186

Rs. 18,256

Rs. 22,697

Rs. 28,253

solution

$40000 * 1 / (1 + 0.12)^5 = 22697.07$

120. Which of the following statement is considered as the accountant's snapshot of firm's accounting value as of a particular date?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Retained Earning Statement

121. **The principal amount of a bond at issue is called:**

Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

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122. **Which of the following statement about bond ratings is TRUE?**

Select correct option:

Bond ratings are typically paid for by a company's bondholders.

Bond ratings are based solely on information acquired from sources other than the bond issuer.

Bond ratings represent an independent assessment of the credit-worthiness of bonds.

None of the given options

123. **Which of the following is the acronym for GAAP?**

Select correct option:

Generally Applied Accountability Principles

General Accounting Assessment Principles

Generally Accepted Accounting Principles

General Accepted Assessment Principles

124. **Which of the following is NOT an internal use of financial statements information?**

Select correct option:

Planning for the future through historic information

Evaluation of performance through profit margin and return on equity

Evaluation of credit standing of new customer

None of the given options

125. **A firm has paid out Rs. 150,000 as dividends from its net income of Rs. 250,000. What is the retention ratio for the firm?**

Select correct option:

12 %

25 %

40%

60 %

Solution

Net income-dividend / net income *100

$250000-150000/250000*100=40\%$

A company having a current ratio of 1 will have _____ net working capital. Select correct option:

Positive

Negative

zero

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None of the given options

126. **A portion of profits, which a company distributes among its Shareholders, is known as:**

Select correct option:

Dividends

Retained Earnings

Capital Gain

None of the given options

127. Which of the following is(are) the basic area(s) of Finance?

Select correct option:

Financial institutions

International finance

Investments

All of the given options

128. Which of the following ratios is NOT from the set of Asset Management Ratios?

Select correct option:

Inventory Turnover Ratio

Receivable Turnover

Capital Intensity Ratio

Return on Assets

129. You just won a prize, you can either receive Rs. 1000 today or Rs. 1,050 in one year. Which option do you prefer and why if you can earn 5 percent on your money?

Select correct option:

Rs. 1,000 because it has the higher future value

Rs. 1,000 because you receive it sooner

Rs. 1,050 because it is more money

Either because both options are of equal value

130. Which of the following terms refers to the use of debt financing?

Select correct option:

Operating Leverage

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Financial Leverage

Manufacturing Leverage

None of the given options

b

131. You need Rs. 10,000 to buy a new television. If you have Rs. 6,000 to invest at 5 percent compounded annually, how long will you have to wait to buy the television?

Select correct option:

8.42 years

10.51 years

15.75 years

18.78 years

$6000(1+5\%)^{10.51} \approx 10,000$

132. Which of the following is an example of positive covenant?

Select correct option:

Maintaining firm's working capital at or above some specified minimum level

Furnishing audited financial statements periodically to the lender

Maintaining any collateral or security in good condition

Restricting selling or leasing assets

133. Which of the following is measured by retention ratio?

Select correct option:

Operating efficiency

Asset use efficiency

Financial policy

Dividend policy

134. Which of the following statement shows assets, liabilities, and net worth as of a specific date?

Select correct option:

Income Statement

Balance Sheet

Owner's Equity Statement

Cash Flow Statement

Armaan: b

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135. Product costs include which of the following?

Select correct option:

Selling expenses

General expenses

Manufacturing overhead

Administrative expenses

136. An account was opened with an investment of Rs. 3,000 ten years ago. The ending balance in the account is Rs. 4,100. If interest was compounded, how much compounded interest was earned?

Select correct option:

Rs. 500

Rs. 752

Rs. 1,052

Rs. 1,100

$4100 - 3000 = 1100$

137. What is the effective annual rate of 7 percent compounded monthly?

Select correct option:

7.00 percent

7.12 percent

7.19 percent

7.23 percent

138. Which of the following cash flow activities are reported in the Cash Flow Statement and Income Statement?

Select correct option:

Operating Activities

Investing Activities

Financing Activities

All of the given options

139. Which of the following term refers to establish of a standard to follow for comparison?

Select correct option:

Benchmarking

Standardizing

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Comparison

Evaluation

140. **Which of the following is measured by profit margin?**

Select correct option:

Operating efficiency pg 44

Asset use efficiency

Financial policy

Dividend policy

141. **Rule of 72 for finding the number of periods is fairly applicable to which of the following range of discount rates?**

Select correct option:

2%to 8%

4%to 25%

5% to 20%

10% to 50%

142. **Which of the following refers to a conflict of interest between principal and agent?**

Select correct option:

Management Conflict

Interest Conflict

Agency Problem

None of the given options

143. **Which of the following is a series of constant cash flows that occur at the end of each period for some fixed number of periods?**

Select correct option:

Ordinary annuity 63

Annuity due

Perpetuity

None of the given options

144. **Which of the following area of finance deals with stocks and bonds?**

Select correct option:

Financial institutions

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International finance

Investments

All of the given options

145. **7:03 AM Which of the following is NOT an external use of financial Statements information?**

Select correct option:

Evaluation of credit standing of new customer

Evaluation of financial worth of supplier

Evaluation of potential strength of the competitor

Evaluation of performance through profit margin and return on equity

146. Which of the following is(are) the basic area(s) of Finance?

Select correct option:

Financial institutions

International finance

Investments

All of the given options

147. If a firm has a ROA of 8 percent, sales of Rs. 100,000, and total assets of Rs. 75,000. What is the profit margin?

Select correct option:

4.30%

6.00%

10.70%

16.73%

solution

Net income = ROA * total asset

Net income = 8% * 75000 = 6000

Profit margin = net income / sales * 100

Profit margin = 6000 / 100000 * 100 = 6%

148. Which of the following is the process of planning and managing a firm's long-term investments?

Select correct option:

Capital Structuring

Capital Rationing

Capital Budgeting

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Working Capital Management

149. Which of the following refers to the cash flows that result from the firm's day-to-day activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows

Financing Cash Flows

All of the given options

150. Quick Ratio is also known as:

Select correct option:

Current Ratio

Acid-test Ratio

Cash Ratio

None of the given options

151. Mr. Y and Mr. Z are planning to share their capital to run a business.

They are going to employ which of the following type of business?

Select correct option:

Sole-proprietorship

Partnership

Corporation

None of the given options

152. If you have Rs. 30 in asset A and Rs. 120 in another asset B, the weights for assets A and B will be __ and __ respectively.

Select correct option:

20%; 80%

37%; 63%

63%; 37%

80%; 20%

153. When corporations borrow, they generally promise to: I. Make regular scheduled interest payments II. Give the right of voting to bondholders III. Repay the original amount borrowed (principal) IV. Give an

ownership interest in the firm

Select correct option:

I and II

I and III

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II and IV

I, III, and IV

154. Which of the following is NOT included in a bond indenture?

Select correct option:

The basic terms of bond issue

The total amount of bonds issued

A personal profile of the issuer

A description of the security

155. What would be the present value of Rs. 10,000 to be received after 6 years at a discount rate of 8 percent?

Select correct option:

Rs. 6,302

Rs. 9,981

Rs. 14,800

Rs. 15,869

156. Which of the following statement is TRUE regarding debt?

Select correct option:

Debt is an ownership interest in the firm.

Unpaid debt can result in bankruptcy or financial failure.

Debt provides the voting rights to the bondholders.

Corporation's payment of interest on debt is fully taxable.

157. The preferred stock of a company currently sells for Rs. 25 per share. The annual dividend of Rs. 2.50 is fixed. Assuming a constant dividend forever, what is the rate of return on this stock?

Select correct option:

5.00 percent

7.00 percent

8.45 percent

10.0 percent

158. Which of the following is a special case of annuity, where the stream of cash flows continues forever?

Select correct option:

Ordinary Annuity

Special Annuity

AnnuityDue

Perpetuity

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159. JJ Inc. has a 4 percent return on total assets of Rs. 500,000 and a net profit margin of 5 percent. Total sales for JJ Inc. would be :

Select correct option:

Rs. 150,000

Rs. 200,000

Rs. 250,000

Rs. 400,000

ROTA = N.P / Total Assets

$$4\% = N.P / 500,000$$

$$4\% * 500,000 = N.P$$

$$N.P = \text{Rs. } 20,000$$

$$N.P \text{ Margin} = N.P / \text{Sales}$$

$$5\% = 20,000 / \text{Sales}$$

$$5\% * \text{Sales} = 20,000$$

$$\text{Sales} = 20,000 / 5\%$$

$$\text{Sales} = 400,000$$

160. Which of the following rate makes the Net Present Value (NPV) equal to zero?

Select correct option:

Average Accounting Return (AAR)

Internal Rate of Return (IRR) pg 109

Required Rate of Return (RRR)

Weighted Average Cost of Capital (WACC)

161. Which of the following is the expected rate of return on a bond if bought at its current market price and held to maturity

Select correct option:

Current Yield

Yield To Maturity

Coupon Yield

Capital Gains Yield

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162. If a firm uses cash to purchase inventory, its quick ratio

will: Select correct option:

Increase

Decrease

Remain unaffected

Become zero

163. a firm uses cash to purchase inventory, its current ratio

will: Select correct option:

Increase

Decrease

Remain unaffected

Become zero

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ACC 501 Solved MCQ'S For MID & Final Exam

1. Which of the following is an example of positive covenant?

Select correct option:

Maintaining firm's working capital at or above some specified minimum level

Furnishing audited financial statements periodically to the lender

Maintaining any collateral or security in good condition

Restricting selling or leasing assets wrong question option d is negative and all is positive example

Wrong, wrong, wrong question it is unfair discipline

2. AST Company's debt-to-total assets ratio is 0.45. What is its debt -to-equity

ratio?

Select correct option:

0.101

0.220

0.667

0.818

Reference: $(1-0.45=0.55)$

$=0.45/0.55=0.818$

3. What amount a borrower would pay at the end of fourth year with a 4-year, 12%, interest-only loan of Rs. 8,000?

Select correct option:

Rs. 1,360

Rs. 2,000

Rs. 5,625

Rs. 8,960

Reference: $8000 \times 12/100 = 8960$

4. What will be the price per share if there is a current dividend of Rs. 4.75, required rate of return of 12% and growth rate of 5%?

Select correct option:

Rs. 30.19

Rs. 43.52

Rs. 56.53

Rs. 71.25

Reference: $D \times (1+g/r-g)$

$4.75 \times (1+0.05/4.75-0.05) = 71.25$

5. A given rate is quoted as 9 percent APR, but the EAR is 9.38 percent. What is the compounding period?

Select correct option:

Semiannually

Quarterly

Monthly

Daily

Reference: $(1+APR/m)^m - 1$

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APR=9

M=30

$(1+9/30)^{30} - 1 = 9.38$

6. Mr. Aslam owns 100 shares of a company and there are four directors to be elected. How much votes Mr. Aslam would have as per cumulative voting procedure?

Select correct option:

100 votes

200 votes

300 votes

400 votes

Reference: $100 \times 4 = 400$

7. SNT Corporation has policy of paying a Rs. 6 per share dividend every year. If this policy is to continue indefinitely, what will be the value of a share of stock at a 15% required rate of return?

Select correct option:

Rs. 30

Rs. 40

Rs. 50

Rs. 60

Reference: $6/0.15=40$

8. Which of the following process can be defined as the process of generating earnings from previous earnings?

Select correct option:

Discounting

Compounding

Factorization

None of the given options

9. Which of the following is the amount of cash we would get if we actually sell an asset?

Select correct option:

Market Value

Book Value

Intrinsic Value

None of the given options

10.

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11. Which of the following financial statement shows both dollars and percentages in the report?

Select correct option:

Balance Sheet

Common-Size Statement

Income Statement

Relative Statement of Equity

12. in which form of Business, owners have limited liability.

Select correct option:

sole proprietorship

partnership

joint stock company

none of the above

13. Suppose the initial investment for a project is Rs. 16 million and the cash flows are Rs. 4 million in the first year and Rs. 9 million in the second and Rs. 5 million in the third. The project will have a payback period of:

Select correct option:

2.6 Years

3.1 Years

3.7 Years

4.1 Years

14. Which of the following is NOT a shortcoming of Payback Rule?

Select correct option:

Time value of money is ignored

It fails to consider risk differences

Simple and easy to calculate

None of the given options pg 106

15. When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:

Select correct option:

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[Debt securities or bonds pg 71](#)

Common Stocks

Preferred Stock

All of the given options

16. Treasury notes and bonds are examples of which of the following types of bonds?

Select correct option:

[Government bonds 85](#)

Zero coupon bonds

Floating-rate bonds

Euro bonds

17. When real rate is _____, all interest rates will tend to be _____.

Select correct option:

Low; higher

High; lower

[High; higher pg 88](#)

None of the given options

18. Which of the following statements is(are) CORRECT regarding a bond?

Select correct option:

A bond is an evidence of debt issued by a corporation or a governmental body. A bond represents a loan made by investors to the issuer.

When a corporation wishes to borrow from public on a long term basis, it does so by issuing or selling bonds.

[All of the given options](#)

19. Between the two identical bonds having different coupon, the price of the _____ bond will change less than that of _____ bond.

Select correct option:

Higher-coupon; lower-coupon

Lower-coupon; higher-coupon

[Long-term; short-term](#)

None of the given options

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20. As the dividend is always same for a zero growth stock, so the stock can also be viewed as:

Select correct option:

Ordinary Annuity

Annuity Due

[Ordinary perpetuity pg 91](#)

None of the given options

21. The coupon rate of a floating-rate bond is capped and upper and lower rates are called:

Select correct option:

Float

[Collar pg 86](#)

Limit

Surplus

22. Internal Rate of Return (IRR) is sometimes referred to as:

Select correct option:

Simple Interest Rate

Compound Interest Rate

Economic Rate of Return

Required Rate of Return

23. If the dividend for a share is growing at a steady rate then which of the following formula(s) can be used to find the dividend in two periods?

Select correct option:

$$D_2 = D_1 \times (1 + g)$$

$$D_2 = D_0 \times (1 + g)^2$$

$$D_2 = D_0 \times (1 + g)^2$$

All of the given options pg 92

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24. A project whose acceptance does not prevent or require the acceptance of one or more alternative projects is referred to as a(n):

Select correct option:

mutually exclusive project

independent project

dependent project

contingent project

25. A project has an initial investment of Rs. 600,000. What would be the NPV for the project if it has a profitability index of 1.12?

Select correct option:

Rs. 40,000

Rs. 55,000

Rs. 65,000

Rs. 72,000

$$\text{Reference} = 600000 \times 1.12 - 600000 = 72000$$

26. Which of the following statement is TRUE regarding debt?

Select correct option:

Debt is an ownership interest in the firm.

Unpaid debt can result in bankruptcy or financial failure. Pg 78

Debt provides the voting rights to the bondholders.

Corporation's payment of interest on debt is fully taxable.

27. If a firm is allowed to miss a coupon payment on a bond in a year in which it reports an operating loss, the bond is most likely a(n) _____ bond.

Select correct option:

Income

Zero coupon

Floating-rate

Put

28. A _____ covenant limits or prohibits actions that company might take.

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Select correct option:

Positive

Negative pg 80

Neutral

None of the given options

29. IRR and NPV rules always lead to identical decisions as long as:

Select correct option:

Cash flows are conventional

Cash flow s are independent

Cash flow s are both conventional and independent pg 110

None of the given options

30. Which of the following allows a company to repurchase part or all of the bond issue at a stated price?

Select correct option:

Repayment

Seniority

Call provision

Protective covenants

31. Which of the following is NOT a quality of IRR?

Select correct option:

Most widely used

Ideal to rank the mutually exclusive investments pg 116

Easily communicated and understood

Can be estimated even without knowing the discount rate

32. In which type of the market, previously issued securities are traded among investors?

Select correct option:

Primary Market

Secondary Market pg 100

TertiaryMarket

None of the given options

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33. A model which makes an assumption about the future growth of dividends is known as:

Select correct option:

Dividend Price Model

Dividend GrowthModel

Dividend PolicyModel

All of the given options

34. Which of the following represents the linear relation between Net Present Value (NPV) and Profitability Index (PI)?

Select correct option:

If Profitability Index > 1 , NPV is Negative (-)

If Profitability Index < 1 , NPV is Positive (+)

If Profitability Index > 1 , NPV is Positive (+)

If Profitability Index > 1 , NPV is Zero (0)

35. Which of the following comes under the head of discounted cash flow criteria for capital budgeting decisions?

Select correct option:

Payback Period

Net Present Value pg 118

AverageAccounting Return

36.

Which of the following is NOT included in discounted cash flow criteria for capital budgeting decision?

Select correct option:

Payback Period pg 119

Net Present Value

Profitability Index

Internal Rate of Return

37. Which of the following is an example of positive covenant?

Select correct option:

Maintaining any collateral or security in good condition

Limiting the amount of dividend according to some formula

Restricting pledging assets to other lenders

Barring merger with another firm

38. Which of the following is the most common capital budgeting technique?

Select correct option:

Payback Period

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Net Present Value

Internal Rate of Return

Profitability Index

39. Which of the following measures the present value of an investment per dollar invested?

Select correct option:

Net Present Value (NPV)

Average Accounting Return (AAR)

Internal Rate of Return (IRR)

Profitability Index (PI) pg 119

40. Which of the following is a measure of accounting profit relative to the book value?

Select correct option:

Net Present Value

Profitability Index

Internal Rate of Return

Average Accounting Return pg 119

41. Which one of the following typically applies to preferred stock but not to common stock?

Select correct option:

Dividend yield

Cumulative dividends

Voting rights

Tax deductible dividends

42. Treasury notes and bonds are examples of which of the following types of bonds?

Select correct option:

Government bonds pg 86

Zero coupon bonds

Floating-rate bonds

Euro bonds

43. Expectation of a ____ inflation rate will push long term interest rates ____ than short term rates reflected by an upward term structure.

Select correct option:

Lower; higher

Higher; lower

Higher; higher pg 88

None of the given options

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44. A company issues bonds with a Rs. 1,000 face value. What is the coupon rate if the coupon payments of Rs. 60 are paid every 6months?

Select correct option:

3 percent

6 percent

9 percent

12 percent

$60 \times 6 = 120 / 1000 = 12\%$

45. The projected cash flows from a project are: Year 1: Rs. 100 Year 2: Rs. 300 Year 3: Rs. 400 Year 4: Rs. 800 The Project cost is Rs. 800. What would be the payback period for the project?

Select correct option:

2.00 Years

2.67 Years

3.00 Years

3.67 Years

Project=800 paid in 1 year=100, 2nd year=300 and 3rd year=400 total 800 paid in 3rd year

In which of the following type of annuity, cash flows occur at the beginning of each period?

Select correct option:

Ordinary annuity

Annuity due pg 66

Perpetuity

None of the given options

46. Which of the following is NOT an important feature of treasury notes and bonds?

Select correct option:

Default free

Taxable

Least liquid pg 90

Highly liquid

Which of the following is NOT a determinant of term structure?

Select correct option:

Real rate of interest

Internal rate of interest pg 88

Expected inflation

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Interest rate risk

47. Which of the following is the amount of time required for an investment to generate cash flows sufficient to recover its initial cost?

Select correct option:

Yield to maturity

Maturity Period

Payback period pg 104

Accounts Receivable period

m.q .z

48. In which type of the market, securities are originally sold to the investors?

Select correct option:

PrimaryMarket

SecondaryMarket

TertiaryMarket

None of the given options

49. A _____ is an agent who arranges security transactions among investors.

Select correct option:

Broker pg 100

Dealer

Member

Specialist

volatile

50. Which of the following is a characteristic of preferred stock?

Select correct option:

These stocks have not stated liquidating value

Dividends on these stocks can be cumulative pg 100

These bonds hold credit ratings quite different from bonds

These stocks have not any kind of priority over common stocks

51. Which of the following type of bond pays no coupon at all and are offered at a price that is much lower than its stated value?

Select correct option:

Government bonds

Zero coupon bonds pg 85

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Floating-rate bonds

Euro bonds

52. An investment will be _____ if the IRR doesn't exceeds the required return and _____ otherwise.

Select correct option:

Accepted; rejected

Accepted; accepted

Rejected; rejected

Rejected; accepted pg 109 conceptual

53. Which of the following comes under the head of accounting criteria for capital budgeting decision?

Select correct option:

Payback Period

Net Present Value

Profitability Index

Average Accounting Return pg 119

54. Which of the following is a series of constant cash flows that occur at the end of each period for some fixed number of periods?

Select correct option:

Ordinary annuity pg 63

Annuity due

Perpetuity

None of the given options

55. Which of the following term refers to the difference between the present value of cash inflows and the present value of cash outflows?

Select correct option:

Net Present Value (NPV)

Average Accounting Return (AAR)

Internal Rate of Return (IRR)

Profitability Index (PI)

56. One would be indifferent between taking and not taking the investment when:

Select correct option:

NPV is greater than Zero

NPV is equal to Zero pg 104 doubt ask question in mdb

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NPV is less than Zero

All of the given options

57. Which one of the following terms refers to the risk arises for bond owners from fluctuating interest rates?

Select correct option:

Fluctuations Risk

Interest Rate Risk pg75

Real-Time Risk

Inflation Risk

58. All else equal, the market value of a corporate bond is always inversely related to its:

Select correct option:

Time to maturity

Coupon rate

Yield to maturity

All of the given options

59. Which of the following issue is NOT covered by “Investment” area of finance?

Select correct option:

Best mixture of financial investment

International aspects of corporate finance

Associated risks and rewards

Pricing financial assets

60. Period costs include which of the following?

Select correct option:

Selling expense

Raw material

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Direct labor

Manufacturing overhead

61. Product costs include which of the following?

Select correct option:

Selling expenses

General expenses

Manufacturing overhead

Administrative expenses

62. Financial policy is evaluated by which of the following?

Select correct option:

Profit Margin

Total Assets Turnover

Debt-equity ratio

None of the given options

63. Cash flow from assets involves which of the following component(s)?

Select correct option:

Operating cash flow

Capital spending

Change in net working capital

All of the given options

64. Which of the following refers to the cash flows that result from the firm's day-to-day activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows

Financing Cash Flows

All of the given options

65. Finance is vital for which of the following business activity (activities)?

Select correct option:

Marketing Research

Product Pricing

Design of marketing and distribution channels

All of the given options

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66. Which of the following costs are reported on the income statement as the cost of goods sold?

Select correct option:

Product cost

Period cost

Both product cost and period cost

Neither product cost nor period cost

67. Standard Company had net sales of Rs. 750,000 over the past year. During that time, average receivables were Rs. 150,000. Assuming a 365-day year, what was the average collection period?

Select correct option:

5 days

36 days

48 days

73 days

$750000/150000=5$

$365/5=73\text{days}$

68. Which of the following terms refers to the use of debt financing?

Select correct option:

Operating Leverage

Financial Leverage

Manufacturing Leverage

None of the given options

69. In which type of market, new securities are traded?

Select correct option:

Primary market

Secondary market

Tertiary market

None of the given options

70. Which of the following ratios are particularly interesting to short-term creditors?

Select correct option:

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Liquidity Ratios

Long-term Solvency Ratios

Profitability Ratios

Market Value Ratios

71. shows the sources from which cash has been generated and how it has been spent during a period of time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

72. Standard Corporation sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):

Select correct option:

Operating activity

Investing activity

Financing activity

None of the given options

73. me: Quick Ratio is also known as:

Select correct option:

Current Ratio

Acid-test Ratio

Cash Ratio

74. of the following statement measures performance over a specific period of time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Retained Earning Statement

75. Which of the following statement shows assets, liabilities, and net worth as of a specific date?

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Select correct option:

Income Statement

Balance Sheet

Owner's Equity Statement

Cash Flow Statement

76. A portion of profits, which a company retains itself for further expansion, is known as:

Select correct option:

Dividends

Retained Earnings

Capital Gain

None of the given options

77. Which one of the following is NOT a liquidity ratio?

Select correct option:

Current Ratio

Quick Ratio

Cash Coverage Ratio

Cash Ratio

78. Which of the following ratio gives an idea as to how efficient management is at using its assets to generate earnings?

Select correct option:

Profit Margin

Return on Assets

Return on Equity

Total Assets Turnover

79. Which of the following is an example of capital spending?

Select correct option:

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Purchase of Fixed Assets

Decrease in NetWorking Capital

Increase in NetWorking Capital

None of the given options

80. Which of the following is measured by profit margin?

Select correct option:

Operating efficiency

Asset use efficiency

Financial policy

Dividend policy

81. Who of the following make a broader use of accounting information?

Select correct option:

Accountants

Financial Analysts

Auditors

Marketers

82. Which of the following set of ratios is used to assess a business's ability to generate earnings as compared to its expenses and other relevant costs incurred during a specific period of time?

Select correct option:

Liquidity Ratios

Leverage Ratios

Profitability Ratios

Market Value Ratios

83. A company having a current ratio of 1 will have _____ net working capital.

Select correct option:

Positive

Negative

zero

None of the given options

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84. which of the following is not a form of business organization

Select correct option:

sole proprietorship

partnership
joint stock company
[cooperative Society](#)

85. Which of the following ratios are intended to address the firm's financial leverage?

Select correct option:

Liquidity Ratios

[Long-term Solvency Ratios](#)

Asset Management Ratios

Profitability Ratios

86. The accounting definition of income is:

Select correct option:

Income = Current Assets - Current Liabilities

Income = Fixed Assets - Current Assets

Income = Revenues - Current Liabilities

[Income = Revenues - Expenses](#)

87. Which of the following item(s) is(are) not included while calculating Operating Cash Flows?

Select correct option:

Depreciation

Interest

Expenses related to firm's financing of its assets

[All of the given options](#)

88. Suppose market value exceeds book value by Rs. 250,000. What will be the after-tax proceeds if there is a tax rate of 34 percent ?

Select correct option:

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Rs. 105,600

Rs. 148,500

[Rs. 165,000](#)

Rs. 225,000

Solution=250000*34%=85000

250,000-85000=165000

89. When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:

Select correct option:

[Debt securities or bonds lec 17](#)

Common Stocks

Preferred Stock

All of the given options

90. In which type of market, used securities are traded?

Select correct option:

Primary market

[Secondary market](#)

Tertiary market

None of the given options

91. Who of the following make a broader use of accounting information?

Select correct option:

Accountants

[Financial Analysts lec 2](#)

Auditors

Marketers

92. Which of the following is (are) a non-cash item(s) ?

Select correct option:

Revenue

Expenses

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Depreciation

All of the given options

93. What will be the coupon value of a Rs. 1,000 face-value bond with a 10% coupon rate?

Select correct option:

Rs. 100

Rs. 510

Rs. 1,000

Rs. 1,100

Solution:

$=1000/10$

$=100$

94. Which of the following comes under the head of discounted cash flow criteria for capital budgeting decisions?

Select correct option:

Payback Period lec 28

Net Present Value

Average Accounting Return

None of the given options

95. Period costs include which of the following?

Select correct option:

Selling expense

Raw material

Direct labor

Manufacturing overhead

96. The value of net working capital will be greater than zero when:

Select correct option:

Current Assets > Current Liabilities

Current Assets < Current Liabilities

Current Assets = Current Liabilities

None of the given options

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97. According to Du Pont Identity, ROE is affected by which of the following?

Select correct option:

Operating efficiency

Asset use efficiency

Financial Leverage

All of the given options

98. Which of the following issue is NOT covered by "Investment" area of finance?

Select correct option:

Best mixture of financial investment

International aspects of corporate finance

Associated risks and rewards

Pricing financial assets

99. **Standard Corporation sold fully depreciated equipment for Rs. 5,000. This transaction will be reported on the cash flow statement as a(n):**

Select correct option:

Operating activity

Investing activity

Financing activity

None of the given options

100. **Balance sheet for a company reports current assets of Rs. 700,000 and current liabilities of Rs. 460,000. What would be the Current Ratio for the company if there is an inventory level of Rs. 120,000?**

Select correct option:

1.01

1.26

1.39

1.52

Solution= $700000/460000=1.52$

101. **In which type of business, all owners share in gains and losses and all have unlimited liability for all business debts?**

Select correct option:

Sole-proprietorship

General Partnership pg 6

Limited Partnerhsip

Corporation

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102. **a firm uses cash to purchase inventory, its current ratio will:**

Select correct option:

Increase

Decrease

Remain unaffected

Become zero

103. **Which of the following is a special case of annuity, where the stream of cash flows continues forever?**

Select correct option:

Ordinary Annuity

Special Annuity

Annuity Due

Perpetuity

104. **Which of the following is an example of positive covenant?**

Select correct option:

Maintaining any collateral or security in good condition

Limiting the amount of dividend according to some formula

Restricting pledging assets to other lenders

Barring merger with another firm

105. **Which of the following refers to the difference between the sale price and cost of inventory?**

Select correct option:

Net loss

Net worth

Markup

Markdown

106. **Which of the following allows a company to repurchase part or all of the bond issue at a stated price?**

Select correct option:

Repayment

Seniority

Call provision

Protective covenants

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107. _____ shows the sources from which cash has been generated and how it has been spent during a period of time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Owner's Equity Statement

108. **Which of the following is a cash flow from financing activity?**

Select correct option:

Cash outflow to the government for taxes

Cash outflow to shareholders as dividends

Cash outflow to lenders as interest

Cash outflow to purchase bonds issued by another company

109. **Which of the following form of business organization is least regulated?**

Select correct option:

Sole-proprietorship

General Partnership

Limited Partnership

Corporation

110. **The principal amount of a bond at issue is called:**

Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

111. **Which of the following relationships holds TRUE if a bond sells at a discount?**

Select correct option:

Bond Price < Par Value and YTM > coupon rate

Bond Price > Par Value and YTM > coupon rate

Bond Price > Par Value and YTM < coupon rate

Bond Price < Par Value and YTM < coupon rate

112. **When a corporation wishes to borrow from public on a long-term basis, it does so by issuing or selling:**

Select correct option:

Debt securities or bonds

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Common Stocks

Preferred Stock

All of the given options

113. Which of the following item provides the important function of shielding part of income from taxes?

Select correct option:

Inventory

Supplies

Machinery

Depreciation

114. A firm reports total liabilities of Rs. 300,000 and owner's equity of Rs. 500,000. What would be the total worth of the firm's assets?

Select correct option:

Rs. 300,000

Rs. 500,000

Rs. 800,000

Rs. 1100,000

sol

Asset= liabilities+ capital so 300+500=800,000

115. Which of the following forms of business organizations is created as a distinct legal entity owned by one or more individuals or entities?

Select correct option:

Sole-proprietorship

General Partnership

Limited Partnership

Corporation

116. in which form of Business, owners have limited liability.

Select correct option:

sole proprietorship

partnership

joint stock company

none of the above

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117. Which of the following equation is known as Cash Flow (CF) identity?

Select correct option:

CF from Assets = CF to Creditors - CF to Stockholder

CF from Assets = CF to Stockholders - CF to Creditors

CF to Stockholders = CF to Creditors + CF from Assets

CF from Assets = CF to Creditors + CF to Stockholder

118. The difference between current assets and current liabilities is known as:

Select correct option:

Surplus Asset

Short-term Ratio

Working Capital

Current Ratio

119. A borrower is able to pay Rs. 40,000 in 5 years. Given a discount rate of 12 percent, what amount of money the lender should lend?

Select correct option:

Rs. 14,186

Rs. 18,256

Rs. 22,697

Rs. 28,253

solution

$$40000 * 1 / (1 + 0.12)^5 = 22697.07$$

120. **Which of the following statement is considered as the accountant's snapshot of firm's accounting value as of a particular date?**

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Retained Earning Statement

121. **The principal amount of a bond at issue is called:**

Select correct option:

Par value

Coupon value

Present value of an annuity

Present value of a lump sum

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122. **Which of the following statement about bond ratings is TRUE?**

Select correct option:

Bond ratings are typically paid for by a company's bondholders.

Bond ratings are based solely on information acquired from sources other than the bond issuer.

Bond ratings represent an independent assessment of the credit-worthiness of bonds.

None of the given options

123. **Which of the following is the acronym for GAAP?**

Select correct option:

Generally Applied Accountability Principles

General Accounting Assessment Principles

Generally Accepted Accounting Principles

General Accepted Assessment Principles

124. **Which of the following is NOT an internal use of financial statements information?**

Select correct option:

Planning for the future through historic information

Evaluation of performance through profit margin and return on equity

Evaluation of credit standing of new customer

None of the given options

125. **A firm has paid out Rs. 150,000 as dividends from its net income of Rs. 250,000. What is the retention ratio for the firm?**

Select correct option:

12 %

25 %

40%

60 %

Solution

$$\text{Net income} - \text{dividend} / \text{net income} * 100$$

$$250000 - 150000 / 250000 * 100 = 40\%$$

A company having a current ratio of 1 will have _____ net working capital. Select correct option:

- Positive
- Negative
- zero

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None of the given options

126. A portion of profits, which a company distributes among its shareholders, is known as:

Select correct option:

- Dividends
- Retained Earnings
- Capital Gain
- None of the given options

127. Which of the following is(are) the basic area(s) of Finance?

Select correct option:

- Financial institutions
- International finance
- Investments

All of the given options

128. Which of the following ratios is NOT from the set of Asset Management Ratios?

Select correct option:

- Inventory Turnover Ratio
- Receivable Turnover
- Capital Intensity Ratio

Return on Assets

129. You just won a prize, you can either receive Rs. 1000 today or Rs. 1,050 in one year. Which option do you prefer and why if you can earn 5 percent on your money?

Select correct option:

Rs. 1,000 because it has the higher future value

- Rs. 1,000 because you receive it sooner
- Rs. 1,050 because it is more money
- Either because both options are of equal value

130. Which of the following terms refers to the use of debt financing?

Select correct option:

- Operating Leverage

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Financial Leverage

- Manufacturing Leverage
- None of the given options
- b

131. You need Rs. 10,000 to buy a new television. If you have Rs. 6,000 to invest at 5 percent compounded annually, how long will you have to wait to buy the television?

Select correct option:

- 8.42 years
- 10.51 years**
- 15.75 years

18.78 years

$6000(1+5\%)^{10.51}$ =around 10,000

132. Which of the following is an example of positive covenant?

Select correct option:

Maintaining firm's working capital at or above some specified minimum level

Furnishing audited financial statements periodically to the lender

Maintaining any collateral or security in good condition

Restricting selling or leasing assets

133. Which of the following is measured by retention ratio?

Select correct option:

Operating efficiency

Asset use efficiency

Financial policy

Dividend policy

134. Which of the following statement shows assets, liabilities, and net worth as of a specific date?

Select correct option:

Income Statement

Balance Sheet

Owner's Equity Statement

Cash Flow Statement

Armaan: b

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135. Product costs include which of the following?

Select correct option:

Selling expenses

General expenses

Manufacturing overhead

Administrative expenses

136. An account was opened with an investment of Rs. 3,000 ten years ago. The ending balance in the account is Rs. 4,100. If interest was compounded, how much compounded interest was earned?

Select correct option:

Rs. 500

Rs. 752

Rs. 1,052

Rs. 1,100

$4100-3000=1100$

137. What is the effective annual rate of 7 percent compounded monthly?

Select correct option:

7.00 percent

7.12 percent

7.19 percent

7.23 percent

138. Which of the following cash flow activities are reported in the Cash Flow Statement and Income Statement?

Select correct option:

Operating Activities

Investing Activities

Financing Activities

All of the given options

139. **Which of the following term refers to establish of a standard to follow for comparison?**

Select correct option:

Benchmarking 48

Standardizing

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Comparison

Evaluation

140. **Which of the following is measured by profit margin?**

Select correct option:

Operating efficiency pg 44

Asset use efficiency

Financial policy

Dividend policy

141. **Rule of 72 for finding the number of periods is fairly applicable to which of the following range of discount rates?**

Select correct option:

2%to 8%

4%to 25%

5% to 20%

10% to 50%

142. **Which of the following refers to a conflict of interest between principal and agent?**

Select correct option:

Management Conflict

Interest Conflict

Agency Problem

None of the given options

143. **Which of the following is a series of constant cash flows that occur at the end of each period for some fixed number of periods?**

Select correct option:

Ordinary annuity 63

Annuity due

Perpetuity

None of the given options

144. **Which of the following area of finance deals with stocks and bonds?**

Select correct option:

Financial institutions

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International finance

Investments

All of the given options

145. **7:03 AM Which of the following is NOT an external use of financial statements information?**

Select correct option:

Evaluation of credit standing of new customer

Evaluation of financial worth of supplier

Evaluation of potential strength of the competitor

Evaluation of performance through profit margin and return on equity

146. Which of the following is(are) the basic area(s) of Finance?

Select correct option:

Financial institutions

International finance

Investments

All of the given options

147. If a firm has a ROA of 8 percent, sales of Rs. 100,000, and total assets of Rs. 75,000. What is the profit margin?

Select correct option:

4.30%

6.00%

10.70%

16.73%

solution

Net income = ROA * total asset

Net income = 8% * 75000 = 6000

Profit margin = net income / sales * 100

Profit margin = 6000 / 100000 * 100 = 6%

148. Which of the following is the process of planning and managing a firm's long-term investments?

Select correct option:

Capital Structuring

Capital Rationing

Capital Budgeting

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Working Capital Management

149. Which of the following refers to the cash flows that result from the firm's day-to-day activities of producing and selling?

Select correct option:

Operating Cash Flows

Investing Cash Flows

Financing Cash Flows

All of the given options

150. Quick Ratio is also known as:

Select correct option:

Current Ratio

Acid-test Ratio

Cash Ratio

None of the given options

151. Mr. Y and Mr. Z are planning to share their capital to run a business.

They are going to employ which of the following type of business?

Select correct option:

Sole-proprietorship

Partnership

Corporation

None of the given options

152. If you have Rs. 30 in asset A and Rs. 120 in another asset B, the weights for assets A and B will be __ and __ respectively.

Select correct option:

20%; 80%

37%; 63%

63%; 37%

80%; 20%

153. **When corporations borrow, they generally promise to: I. Make regular scheduled interest payments II. Give the right of voting to bondholders III. Repay the original amount borrowed (principal) IV. Give an ownership interest in the firm**

Select correct option:

I and II

I and III

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II and IV

I, III, and IV

154. **Which of the following is NOT included in a bond indenture?**

Select correct option:

The basic terms of bond issue

The total amount of bonds issued

A personal profile of the issuer

A description of the security

155. **What would be the present value of Rs. 10,000 to be received after 6 years at a discount rate of 8 percent?**

Select correct option:

Rs. 6,302

Rs. 9,981

Rs. 14,800

Rs. 15,869

156. **Which of the following statement is TRUE regarding debt?**

Select correct option:

Debt is an ownership interest in the firm.

Unpaid debt can result in bankruptcy or financial failure.

Debt provides the voting rights to the bondholders.

Corporation's payment of interest on debt is fully taxable.

157. **The preferred stock of a company currently sells for Rs. 25 per share. The annual dividend of Rs. 2.50 is fixed. Assuming a constant dividend forever, what is the rate of return on this stock?**

Select correct option:

5.00 percent

7.00 percent

8.45 percent

10.0 percent

158. **Which of the following is a special case of annuity, where the stream of cash flows continues forever?**

Select correct option:

Ordinary Annuity

Special Annuity

Annuity Due

Perpetuity

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159. JJ Inc. has a 4 percent return on total assets of Rs. 500,000 and a net profit margin of 5 percent. Total sales for JJ Inc. would be :

Select correct option:

Rs. 150,000

Rs. 200,000

Rs. 250,000

Rs. 400,000

$ROTA = N.P / \text{Total Assets}$

$4\% = N.P / 500,000$

$4\% * 500,000 = N.P$

$N.P = \text{Rs. } 20,000$

$N.P \text{ Margin} = N.P / \text{Sales}$

$5\% = 20,000 / \text{Sales}$

$5\% * \text{Sales} = 20,000$

$\text{Sales} = 20,000 / 5\%$

$\text{Sales} = 400,000$

160. Which of the following rate makes the Net Present Value (NPV) equal to zero?

Select correct option:

Average Accounting Return (AAR)

Internal Rate of Return (IRR) pg 109

Required Rate of Return (RRR)

Weighted Average Cost of Capital (WACC)

161. Which of the following is the expected rate of return on a bond if bought at its current market price and held to maturity

Select correct option:

Current Yield

Yield To Maturity

Coupon Yield

Capital Gains Yield

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162. If a firm uses cash to purchase inventory, its quick ratio

will: Select correct option:

Increase

Decrease

Remain unaffected

Become zero

163. a firm uses cash to purchase inventory, its current ratio

will: Select correct option:

Increase

Decrease

Remain unaffected

Become zero

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